

Another interesting statistics is to look at is the returns from gold over the last few decades. Figure 3.3 shows that over the last 19 years, gold has grown at an annualized rate of 11%, while annualized inflation has been less than 6%. This makes it clearly evident that gold is an excellent hedge against event risk as well as against inflation.

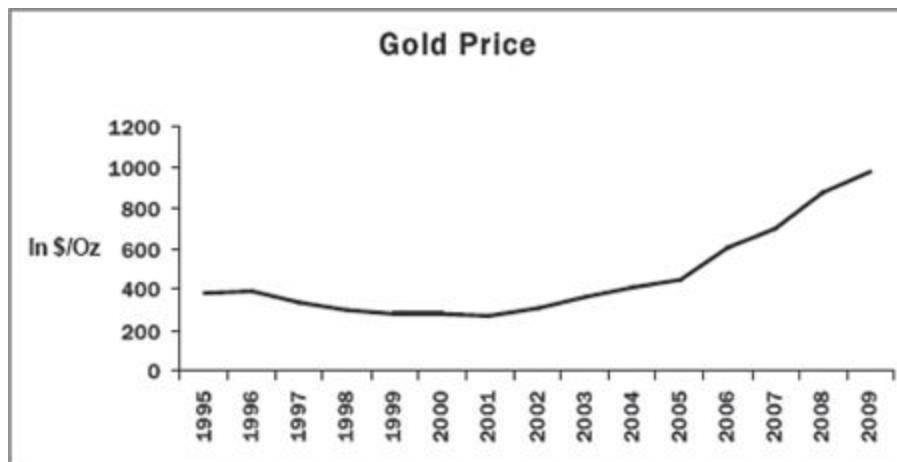


Fig 3.3: *Returns from gold in the last two decades*

Traditionally, keeping the gold safe has been the biggest obstacle to making large investments using this investment vehicle.

Things have changed and evolved with time. Nowadays, it is very easy to invest in gold with the availability of gold Exchange Traded Funds³⁴ (ETFs) or buying EGold units or Gold Funds. Gone are the days when you needed to take the risk of having actual physical possession of gold and worrying about re-selling the same at an appropriate time at the right price. Gold ETFs and recently launched Gold Bonds open up a completely new and flexible investment option.

Gold ETFs

Gold Exchange Traded Funds (ETFs) are intended to offer investors a means of participating in the gold bullion³⁵ market without the necessity of